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WS Global CIO Office
14 August 2026

Weekly Market View

Geopolitical stalemate, cooling jobs and inflation

→ The Middle East conflict appears to have entered a prolonged stalemate, with both sides hardening their position

→ Recent US data showed continued cooling inflation and a jobs market losing momentum, providing room for the Fed to remain on hold

→ The ECB may need to hike interest rates on the back of still-high natural gas prices. The BoJ is likely to hike one more time to stave off pressure on the yen and fight inflation

→ Equities remain well supported by still-strong earnings growth. The rally appears to be broadening. We recently initiated new sector ideas to further diversify our exposure

What is the investment case for US High Yield?

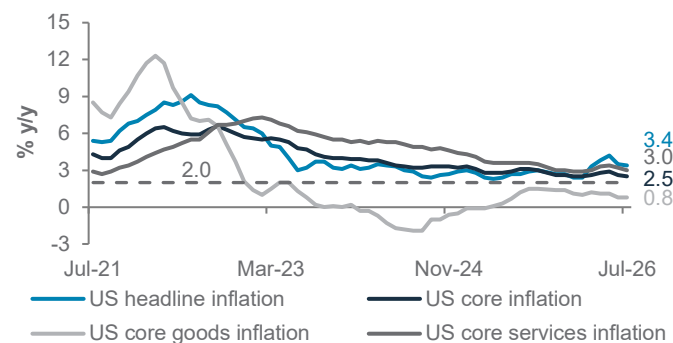
What is the outlook for China tech equities?

Will gold still be highly correlated to the Australian dollar?

Charts of the week: Geopolitical stalemate, cooling jobs and inflation

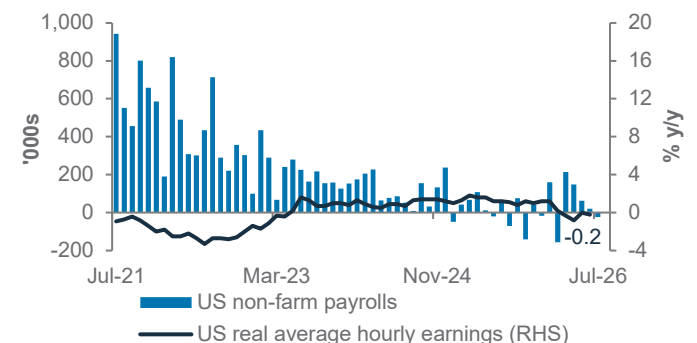
US inflation continues to cool; July jobs report unexpectedly shows a contraction

US headline, core, core goods and core services inflation



Source: Bloomberg, Standard Chartered

US non-farm payrolls, real average hourly earnings growth



Editorial

Geopolitical stalemate, cooling jobs and inflation

Middle East conflict reaches a stalemate. The Middle East conflict appears to have entered a prolonged stalemate, with neither side showing a willingness to soften its position. Iran continues to insist on retaining a role in managing shipping traffic in the Strait of Hormuz, while President Trump has asserted that the United States has “total control” over the waterway and emphasised the effectiveness of the US naval blockade. Pakistan’s foreign ministry has also indicated that the broader peace process has stalled.

While this impasse keeps geopolitical risk premium elevated, particularly for energy markets, recent action from both sides seem to suggest significant warfare fatigue. While energy prices will remain volatile, oil prices returning to March/April levels seem unlikely, which should help inflation. On the other hand, European natural gas prices have remained stuck around the highs we saw during the opening months of the conflict, which could have implications for monetary policy in the Euro area.

US labour market and inflation continue to cool. July’s US inflation and employment data point to a further moderation in aggregate activity (except AI capex, which shows no signs of slowdown). Headline CPI inflation slowed to 3.4% year over year, while core inflation declined to 2.5%, its lowest level since 2021. At the same time, non-farm payrolls unexpectedly contracted by 23,000, and employment gains for May and June were revised lower as well. Together, these figures suggest that the stronger momentum in job growth seen during the spring has faded.

The combination of softer inflation and weaker hiring gives the Federal Reserve greater flexibility to remain patient. Policymakers will still feel some residual pressure to hike as inflation has been above target for several years now, but the direction of travel suggests such pressures are easing. Our base case, therefore, remains that the Fed will keep rates unchanged through year-end. This backdrop should limit upward pressure on US government bond yields at the short-

to-intermediate end of the curve, although the uncertain US fiscal outlook could keep long end yields elevated, as epitomised by recent long bond auction results this week.

ECB and BoJ remain under pressure to tighten. The European Central Bank faces a more difficult trade-off. European natural gas prices remain close to the highs in March, increasing the risk that energy costs feed into headline inflation and inflation expectations. As an inflation-targeting-focused central bank, the ECB may feel compelled to tighten policy once more, even as regional growth remains fragile. We expect one more interest rate hike from the ECB before year-end.

The Bank of Japan also remains under pressure. Negative real yields and the still-wide interest-rate differential between Japan and the United States continue to weigh on the yen, despite earlier coordinated US-Japan intervention. Currency weakness could raise imported inflation and undermine the durability of intervention unless it is supported by quicker monetary policy normalisation. We, therefore, also expect the BoJ to deliver one additional rate increase before year-end.

Earnings continue to support US equity outperformance. US equities remain supported by a favourable combination of moderating bond yields and resilient corporate earnings. Softer economic data have reduced pressure on yields, while earnings results continue to demonstrate that corporate profitability remains healthy. This has allowed equities to generate positive returns, despite persistent geopolitical uncertainty.

Importantly, market leadership appears to be broadening beyond the largest tech companies. We have recently added ideas that improve portfolio diversification while retaining exposure to durable structural and cyclical themes. These include Global Power & Electrification, supported by rising electricity demand, grid investment and infrastructure modernisation, and US Financials, which should continue to benefit from strong capital markets activity.

— Jonathan Liang, CFA

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

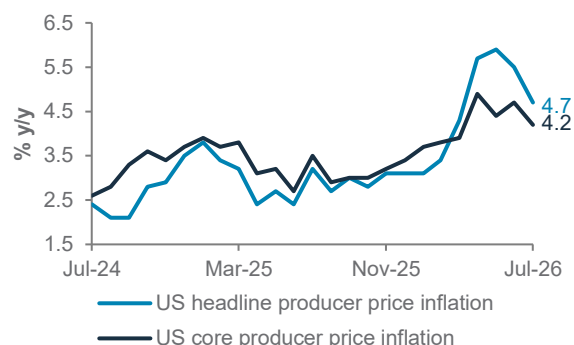
(+) factors: Slowing US inflation, positive Euro area investor confidence

(-) factors: RBA hawkish tone, escalating geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US non-farm payrolls fell unexpectedly by 23,000 in July, reducing Fed rate hike expectations - US headline consumer and producer price inflation fell more than expected in July - US NFIB small business optimism index beat estimates at 99.8 in July - Euro area Sentix Investor Confidence rose to 0.9 - China exports growth came in above estimates at 23.9% y/y in July	China consumer and producer price index rose by 0.5% y/y and 3.5% y/y in July, below estimates
	Our assessment: Positive – Slowing US inflation and job market to keep Fed on hold; strong China export growth	
Policy developments	China's central bank signalled continued loose monetary policy settings and will roll out measures as needed	- RBA kept rate unchanged as expected, but adopted a surprisingly hawkish tone - Fed's Hammack said a series of rate hikes may be needed to bring US inflation back to 2%
	Our assessment: Neutral – Potential China central bank accommodative policy vs. RBA on hold	
Other developments	- President Trump countered Iran's demands for war reparations by issuing his own sweeping financial demands - US and Houthis report two separate attacks on vessels across vital Middle Eastern waterways	
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core producer price inflation fell to 4.7% y/y and 4.2% y/y in July, reinforcing signs of easing price pressures

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

Euro area Sentix Investor Confidence rose into positive territory for the first time since February

Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China's consumer and producer price inflation eased more than expected in July, reflecting persistent domestic demand weakness

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q How has your global power & electrification Opportunistic idea performed? What are the key takeaways from Q2 earnings?

Our view: We remain constructive on the sector. Our global power & electrification Opportunistic idea has returned 7.8% since inception, outperforming the MSCI ACWI Index by 291bps in USD terms through 13 August 2026. Q2 results reinforced our thesis that surging AI and data centre power demand is lifting orders across power generation, grids, power management and energy storage, extending earnings visibility.

Rationale: Power availability is a growing bottleneck. Turbine delivery slots stretch years ahead, while grid suppliers benefit from rising demand for transformers, substations and transmission. A major US power equipment supplier's orders and backlog grew 32% and 8% q/q, respectively. A European peer's backlog rose 5% q/q.

Within data centres, demand for power distribution, cooling and back-up power shows **spending broadening beyond servers**. **Rising rack density** should lift power and cooling needs per facility. **Energy storage** is a smaller, but growing, contributor. A leading battery maker returned to profitability after seven loss-making quarters, helped by a shift from **EV batteries** to energy storage and AI back-up power. As deployment scales, energy storage should help balance **renewable output** and strengthen **grid resilience**.

— Robin Xie, CFA, Senior Investment Strategist

Q What are the implications of rising enthusiasm around China technology IPOs for China tech equities?

Our view: We remain Overweight China technology equities, with the Hang Seng Technology Index (HSTECH) among our Opportunistic ideas.

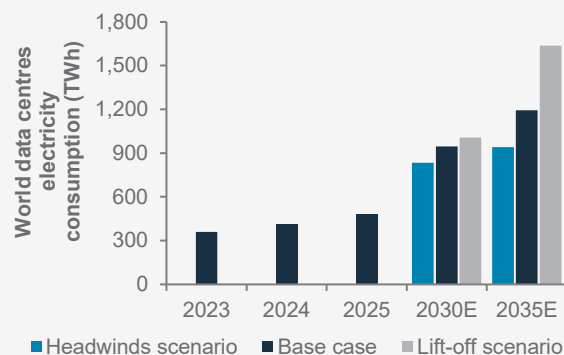
Rationale: China tech equities remain supported by China's policies promoting innovation, supply-chain localisation and tech self-reliance. Strong demand for recent tech IPOs signals a structural re-rating around AI. New listings are likely to broaden participation and direct capital towards semiconductors, robotics and AI.

HSTECH remains one of our Opportunistic ideas, despite a 13% year-to-date (YTD) decline. While rising AI investment is weighing on sentiment towards some internet platforms, **AI should fuel monetisation** across existing and emerging businesses. **Strong cash generation** from core operations can help fund these initiatives. The June inclusion of pure-play AI-model companies in HSTECH marks a structural change that should improve the index's sensitivity to the AI theme. The planned expansion of HSTECH from 30 to 50 constituents should also make the index **more forward-looking** and help capture high-growth tech companies' early gains. Along with discounted valuations, earnings and IPO momentum, these changes are expected to support a **recovery in H2**.

— Cindy Lam, CFA, Senior Investment Strategist

Surging AI and data centre power demand likely to drive a multi-year power grid and electrification investment cycle

Global data centre electricity consumption under various scenarios



Source: International Energy Agency, Standard Chartered

Hang Seng Technology currently trades at discounted valuations, offering an attractive entry point for investors seeking exposure to China's technology recovery and long-term AI growth

HSTECH forward price-to-earnings (P/E) ratio



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Do July's US consumer inflation and non-farm payrolls data reinforce the view that the Fed will stay on hold this year?

Our view: Yes, we believe the Fed will keep its Fed Funds target rate band unchanged at 3.50% - 3.75% for the rest of the year.

Rationale: We believe peak Fed hawkishness is likely behind us after a weaker-than-expected US non-farm payrolls print and an in-line, softening US consumer inflation report. After headline inflation fell by 0.4% m/m in June, it showed a mild increase of 0.1% m/m in July, in line with market expectations. Core inflation is trending towards the Fed's 2% target and currently stands at 2.5% y/y.

Our view is that the rise in inflation in Q2 was likely a temporary surge, driven mainly by oil prices, rather than a broader-based inflation risk. Together with a surprise **23,000 reduction in non-farm payrolls** in July and downward revisions to previous data releases, we believe the Fed is now in an even **better position to pause rate moves**. The market-implied probability of a rate hike at the Fed's September meeting fell below 50% after the jobs report and declined further to below 40% after the consumer inflation print. The key risks to our call are the Middle East conflict and oil prices. We believe **the US has an incentive to avoid a larger oil-price shock**, given the potential risks to US growth and the November mid-term elections.

— Ray Heung, Senior Investment Strategist

Q US high-yield (HY) spreads remain near historically tight levels. What would constitute a fair value for HY spreads today? Beyond elevated absolute yields, what is the investment case for HY bonds?

Our view: We remain opportunistically bullish on US HY. Returns will likely be driven more by income than by further credit spread compression. A below-trend default rate and a maturity wall pushed out to 2028-29 are supportive factors.

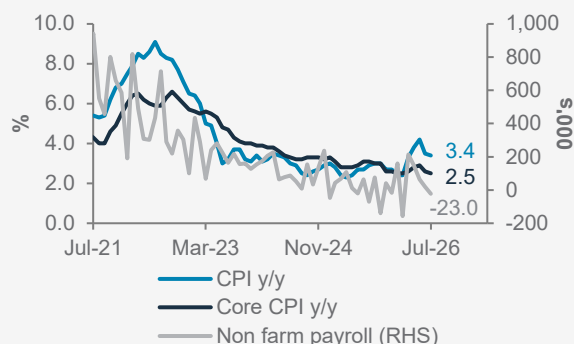
Rationale: While US HY credit spreads (at around 266bps) are near their tightest levels and in the 4th percentile over the past 15 years, the asset class does not look expensive from a yield perspective. US HY currently yields around 7.26%, placing it in the 69th percentile over the past 15 years.

In addition, the **US HY default rate is around 2%**, below the long-term average of 3-3.5%, likely supported by the higher share of BB-rated credit in the index (which is close to 60%) and by a **resilient economy**. **US HY credit metrics are stable** – with reported leverage of 3.5x and interest coverage of 2.0x – and are **projected to improve** into 2027. The **maturity wall** has also been pushed out to 2028-29, as significant refinancing was completed in 2025 and early 2026, taking advantage of favourable market conditions. There is also a **lack of large issuance from hyperscalers** in the US HY space that could otherwise weaken market technicals.

— Ray Heung, Senior Investment Strategist

Peak US inflation is likely behind us; US non-farm payrolls surprised to the downside

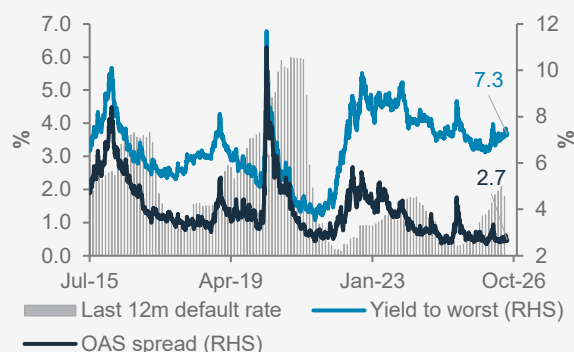
US non-farm payrolls and US headline and core consumer inflation



Source: Bloomberg, Standard Chartered

US HY is supported by a still-attractive yield and a below-trend default rate

Bloomberg US Corporate HY Index yield to worst and option-adjusted spread. US corporate default rate over the last 12 months



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is your outlook for the Australian dollar (AUD) following the latest RBA decision? How do you view the currency's short- and long-term correlation with gold?

Our view: The RBA's decision to hold its official cash rate at 4.35% was accompanied by a hawkish policy message, reinforcing the view that rates are likely to remain restrictive for longer. We remain constructive on AUD/USD, with a three-month forecast of 0.74 and a 12-month forecast of 0.75. The recent strengthening in the gold (XAU)-AUD relationship provides an additional near-term tailwind, although the longer-term correlation suggests gold should still be treated as a supporting indicator rather than the primary AUD driver.

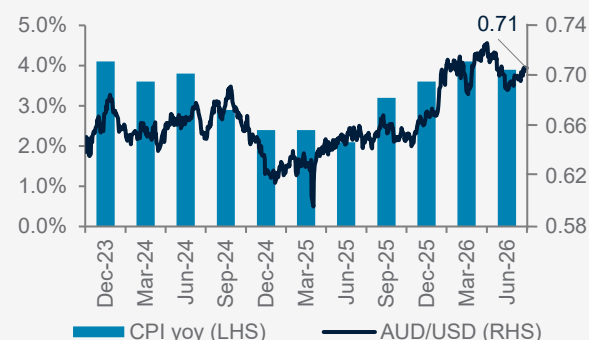
Rationale: Bloomberg data shows that the XAU/USD-AUD/USD correlation stands at **+0.82 over three months**, materially above the **+0.59 three-year correlation**. The 0.23-point gap shows that **gold and the AUD have moved much more closely together recently**, as both have benefited from similar macro tailwinds. However, the more moderate long-term relationship suggests **gold remains a secondary indicator for the AUD** rather than a primary driver.

The RBA's hawkish pause is important for our AUD view. With inflation remaining elevated, the RBA sees **upside risks to inflation**. Governor Bullock reiterated that **rates could rise further** if required. A **softer USD**, **improving China growth momentum** and **supportive commodity conditions** provide additional support for our constructive AUD view and 0.74/0.75 forecasts.

— **Ray Heung**, Senior Investment Strategist

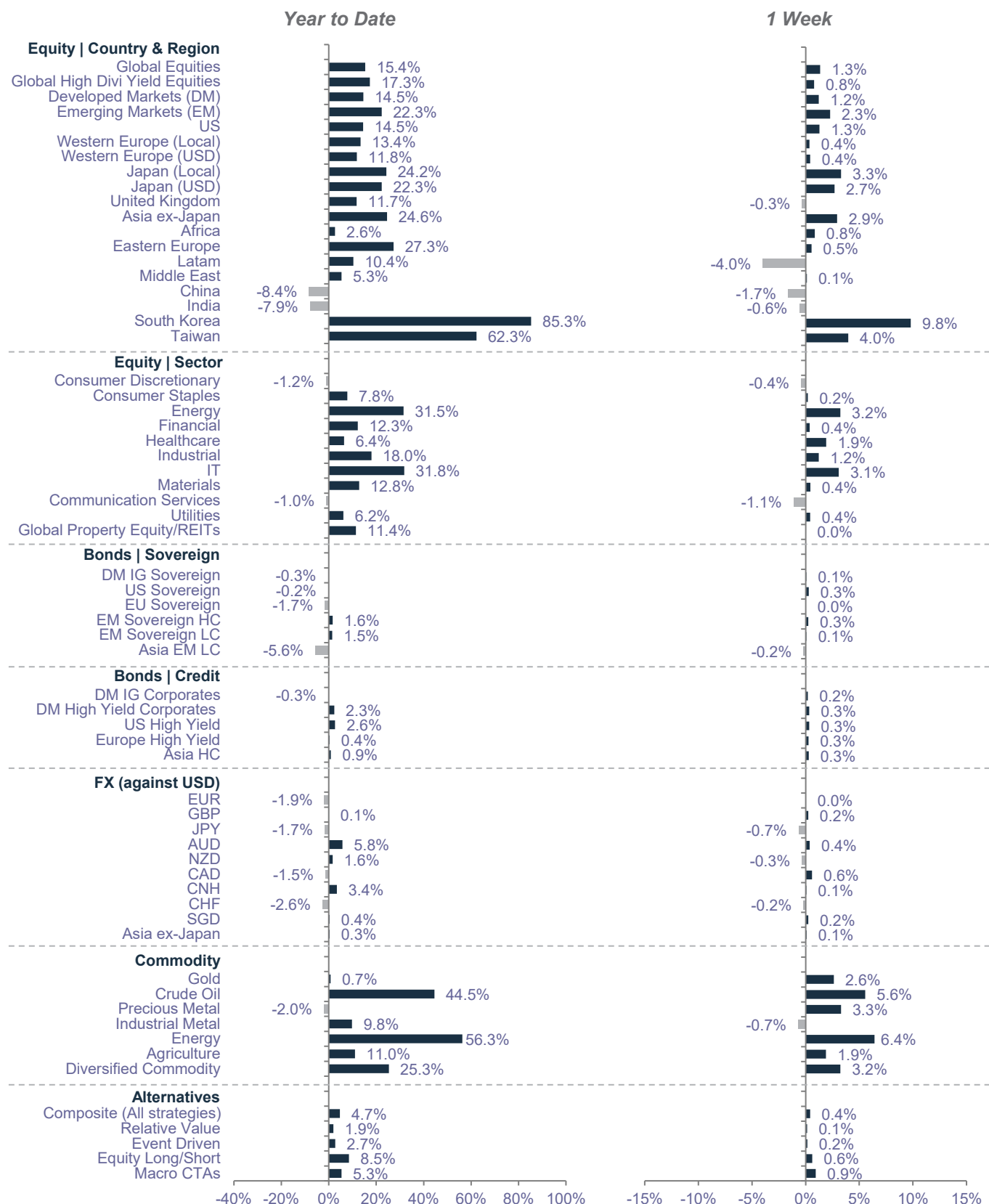
RBA inflation concerns support the AUD

AUD/USD vs. Australia's consumer inflation



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 13 August 2026; 1-week period: 6 August 2026 to 13 August 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ◆	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,972

Technical indicators for key markets as of 13 Aug close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,799	7,470	7,972	20.1	1.1
STOXX 50	6,545	6,301	6,684	15.6	3.1
FTSE 100	10,773	10,467	11,034	12.9	3.7
TOPIX	4,176	3,962	4,288	16.9	2.2
Shanghai Comp	3,927	3,785	4,025	13.0	3.1
Hang Seng	25,397	24,137	26,422	10.7	3.4
Nifty 50	24,396	23,743	24,911	18.3	1.8
MSCI Asia ex-Japan	1,126	1,045	1,168	10.3	2.4
MSCI EM	1,695	1,584	1,756	10.0	2.7
Crude oil (WTI)	81.3	72.5	91.8	na	na
Gold	4,350	4,057	4,547	na	na
UST 10Y Yield	4.64	4.52	4.76	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

Market Event		Period	Expected	Prior
MON	CNH Retail Sales y/y	Jul	1.5%	1.0%
	CNH Industrial Production y/y	Jul	4.9%	5.3%
	CNH Fixed Assets Ex Rural YTD y/y	Jul	-6.2%	-5.7%
	CNH Property Investment YTD y/y	Jul	-19.0%	-18.0%
	USD Empire Manufacturing	Aug	10.0	15.6
TUE	EUR Germany ZEW Survey Expectations	Aug	28.0	26.3
	EUR Germany ZEW Survey Current Situation	Aug	–	-77.6
	USD Capacity Utilization	Jul	76.3%	76.1%
WED				
THU	USD FOMC Meeting Minutes	29-Jul	–	–
	USD Philadelphia Fed Business Outlook	Aug	25.0	41.4
	USD Leading Index	Jul	0.1%	-0.2%
FRI/SAT	EUR S&P Global Eurozone Manufacturing PMI	Aug P	51.4	51.9
	EUR S&P Global Eurozone Services PMI	Aug P	51.4	51.7
	USD S&P Global US Manufacturing PMI	Aug P	53.5	53.9
	USD S&P Global US Services PMI	Aug P	53.8	54.6
	EUR Consumer Confidence	Aug P	-16.6	-15.9

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 13 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.78
Global Equities	●	↑	1.58
Gold	●	↑	1.59
Equity			
MSCI US	●	↑	1.55
MSCI Europe	●	→	1.43
MSCI AC AXJ	●	↑	2.14
Fixed Income			
DM Corp Bond	●	↑	1.93
DM High Yield	●	↑	1.52
EM USD	●	↑	1.77
EM Local	●	→	1.60
Asia USD	●	↑	1.97
Currencies			
EUR/USD	●	→	1.52

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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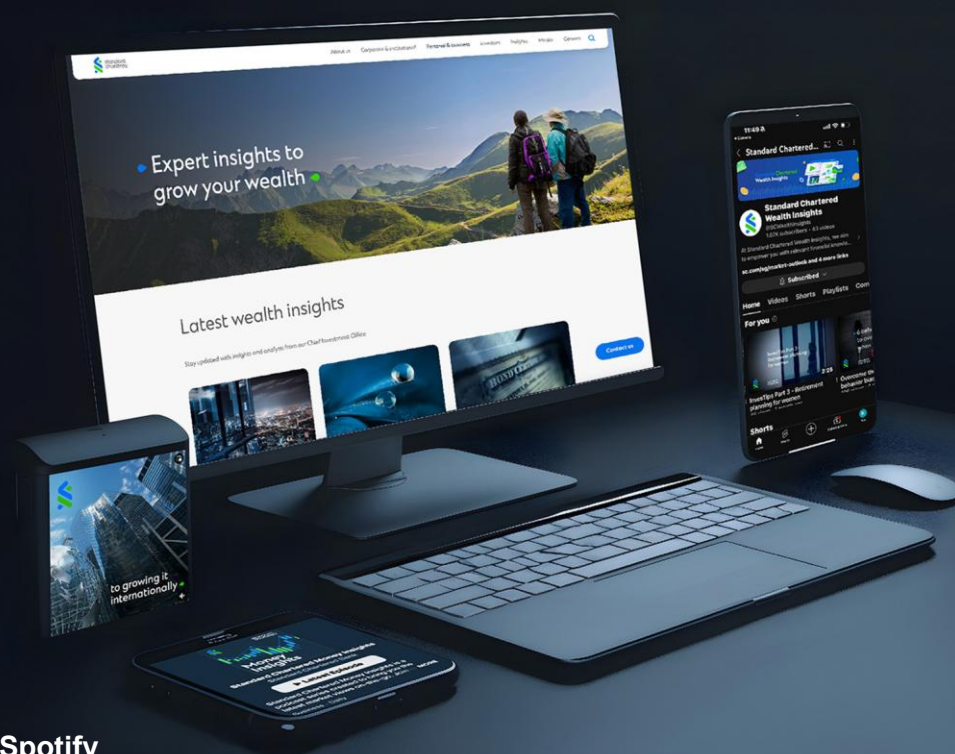
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Weekly Market View

Equities break out

→ Positive earnings and softening US bond yields have supported a breakout in major equity market indices.

→ We see room for this to extend, but would ensure portfolios avoid excessive regional or sector concentrations.

→ The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold.

→ Japan-US yen intervention likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Will the RBA raise rates? What does that mean for AUD bonds?

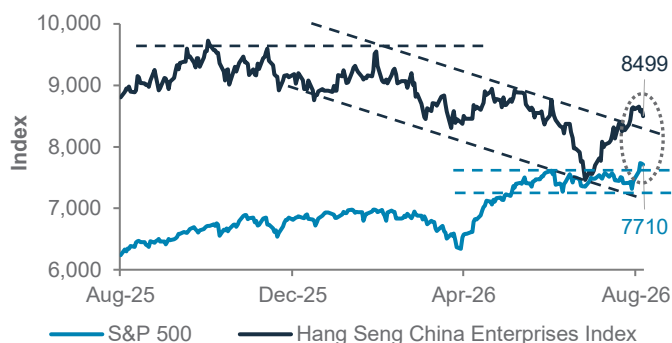
Do recent earnings signal a healthy AI investment cycle?

What does the RBI rate decision mean for Indian bond yields?

Charts of the week: Equities start to break out of recent ranges

US, China equities breaking higher amid strong earnings & softer bond yields. Yen intervention a key reason for DXY fall.

S&P500 and HSCEI equity indices



Source: Bloomberg, Standard Chartered

DXY (USD Index) and USD/JPY



Editorial

Equities break out

Strategy summary: Positive earnings and softening US bond yields have supported a breakout in major equity market indices. We see room for gains to extend, but would ensure portfolios avoid excessive regional or sector concentration. The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold. Japan-US intervention in the Yen currency market likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Major equity markets have broken out of their recent sideways or down-trending ranges in recent days: This shift is visible in US, Euro area and Japan equities, but also within the major Asian markets – China and India –to varying degrees. This technical breakout has focused attention on an improving near-term outlook after recent weakness.

Earnings, bond yields signal gains set to extend: In the US, a strong earnings season has been a key contributor, with approximately 85% of S&P500 companies beating consensus expectations (vs. a long-term average of 67%). In China, we also expect a positive earnings season as earnings reports kick off next week. Meanwhile, the pause in US real (net-of-inflation) bond yields from close to multi-decade highs is also a key positive. Together these factors argue recent equity markets gains have room to extend.

Keep regional, sector exposure diversified: While it is tempting to expect a return to concentrated sector or regional market gains, we believe recent market rotations argue for keeping exposure more broadly diversified. We are also mindful of seasonal and US election-related risks later in the year.

Overweight US, Asia ex-Japan; US financials recently upgraded: We retain our Overweight views on US and Asia ex-Japan equities as well as core holdings to Japan and Euro area stocks. However, this applies equally at a sector level. The

S&P500, for example, comprises approximately 45% growth sectors, 35% cyclical sectors and 20% defensive sectors. Our opportunistic idea on US communication services is a good example of gaining attractive exposure to growth. However, our recent upgrade of US financials on the back of higher yields and M&A activity reflects an attractive route to add cyclicals.

Announcement of an Oman-Iran deal on Strait of Hormuz reinforces rangebound oil price view: Reports of an Oman-Iran agreement to reopen shipping in the Strait of Hormuz reinforced recent softness in oil prices. While recent history shows it can pay to be sceptical of headline deals until evidence emerges of changes in actual activity, the announcement reinforces our view that oil prices remain largely rangebound within USD 70-90/bbl. This should help keep a lid on oil-related inflation worries, thereby helping cap real bond yields and, in turn, avoid disrupting recent optimism in equities.

Capped real yields positive for income and gold: Looking beyond equities, we also see the softening of real bond yields as pointing to an opportunity to lock in attractive yields in short maturity bonds. Softening real yields should also reduce headwinds for gold, where prices have similarly broken above recent ranges. We view gold as a core allocation.

Yen intervention introduces greater two-way volatility, but weak Yen fundamentals remain in place: Coordinated Japanese-US intervention raises the credibility and likely impact of the recent intervention to strengthen the Japanese Yen. However, the persistence of the sizeable gap between Japanese and US interest rates means the fundamental factor driving Yen weakness remains unchanged.

Rate differential attractive for carry trades; USD/JPY likely rangebound for now: JPY-funded carry trades remain attractive given the wide yield differential, although higher intervention risk may encourage lower leverage and tighter risk management. However, the pace of BoJ rate hikes remains the key risk. Near-term, USD/JPY is likely to stay rangebound.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

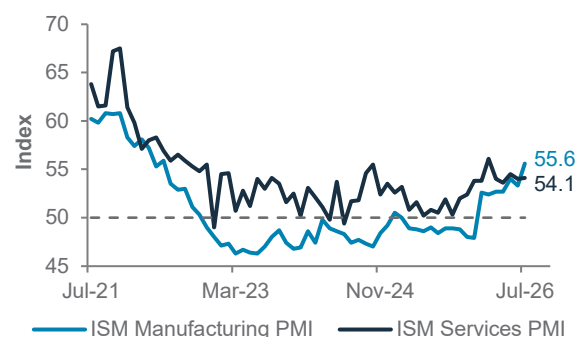
(+) factors: Robust US manufacturing activity; likely easing geopolitical tensions and prospect of resumption of Hormuz strait shipping

(-) factors: Weaker-than-expected US job market, weak China activity and escalating trade tensions between the US and China

	Positive for risk assets	Negative for risk assets
Macro data	US ISM manufacturing PMI rose more than expected to 55.6 in July, with rising new orders and employment sub-indices	- US ISM services PMI missed estimates in July, prices paid rose and employment sub-index fell - US private sector employment (Jul) and US JOLTS job openings (Jun) missed estimates - Euro area core consumer price index rose more than expected in July - China mfg and non-mfg PMIs fell more than expected in July
	Our assessment: Negative – Weaker-than-expected US job market, slower US services activity, and weak China activity	
Policy developments	- Fed's Paulson and Williams said rates remain "well positioned" - RBI kept the repurchase rate unchanged and retained a neutral stance	Fed's Schmid, Kashkari and Cook emphasised further monetary policy tightening as necessary
	Our assessment: Neutral – Divergent Fed views, RBI on hold	
Other developments	- Iran reached an agreement with Oman on a temporary shipping route through the Strait of Hormuz, but stressed it does not mean a full reopening - US confirmed a new round of facilitated talks between Israel and Lebanon	- Iran reported to be looking at barring US and Israeli ships from the strait - US plans ban on Chinese optical transceiver imports, and impose a 15% tariff and minimum price floors on imported polysilicon - China retaliated against US with sanctions and tighter export on drones
	Our assessment: Neutral – Easing geopolitical tensions vs. escalating trade tensions between the US and China	

US manufacturing PMI hit its highest level since May 2022 driven by a surge in production and new orders, while the services sector continued its steady expansion

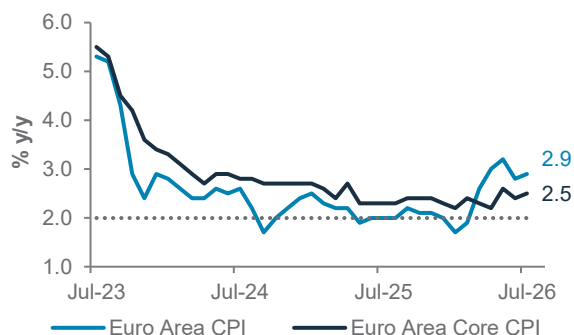
ISM manufacturing PMI and services PMI



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose 2.9% y/y in July as expected, driven by higher energy cost pressures

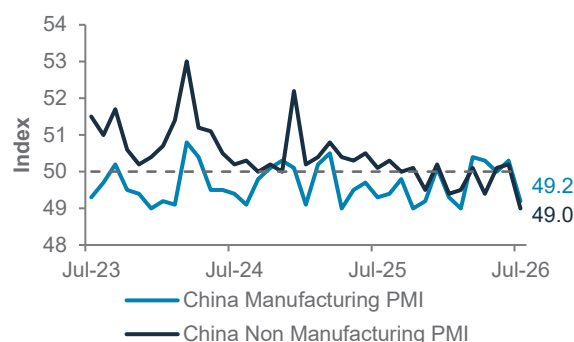
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs fell into contraction territory in July, signalling a loss of economic momentum

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q Do recent Big Tech earnings support the view of a healthy AI investment cycle?

Our view: Yes. We remain constructive on investing in the AI theme, expressed through our Overweight to the US technology sector or via our Opportunistic ideas on US communication services, MSCI Taiwan and global power and electrification.

Rationale: A key concern heading into Big Tech earnings was the ability to monetise substantial AI investments. The results so far largely suggest that **AI investments are supporting real commercial demand rather than simply adding speculative capacity**. Based on current trends, we estimate AI-related returns on investment (ROI) for Big Tech companies with strong cloud businesses at around **25-30%**, indicating returns are becoming increasingly tangible.

While the **ROI remains attractive**, we believe the uncertainty relates to whether hyperscalers have committed too much capital around AI, too quickly. This reflects concerns about the ability of hyperscalers to pause or reverse the investment cycle should the macro situation deteriorate. When investment obligations become large and long dated, the market can become worried about execution risk just as much as return potential. **We remain confident in Big Tech companies' ability to manage their AI investments.**

— Fook Hien Yap, Senior Investment Strategist

Q Can the rally and outperformance of China equities continue?

Our view: We remain Overweight China equities and expect the rally to extend into H2, supported by China's policy stimulus, technological goals, earnings support and cheap valuations.

Rationale: The MSCI China Index has rebounded 9.6% since June-end but remains **down c.7% year to date (YTD)**, compared with global equities – which are up c.14%. This points to **substantial catch-up potential**.

China's July 2026 Politburo meeting, while stopping short of announcing fresh stimulus, pledged to "roll out **pragmatic and effective new policies** in a timely manner", reinforcing a **supportive backdrop** for the economic outlook. Structurally, the country's push for innovation, supply-chain localisation and technological self-reliance, despite US chip restrictions, is bolstering sentiment, with an **AI IPO wave** fuelling stronger investor interest in equities.

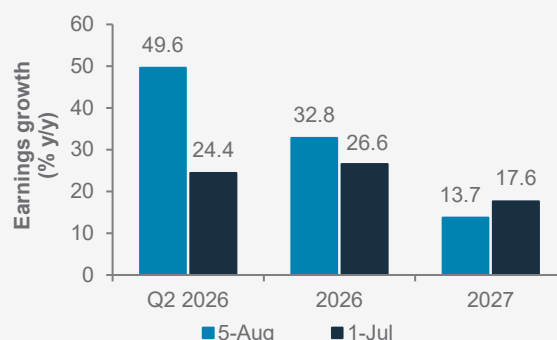
Major Chinese technology names are set to report earnings soon, where **accelerating AI commercialisation** and **high-performing domestic AI models** with lower development costs than their US peers are expected to support the growth outlook.

China trades at a **c.11x forward price-to-earnings (P/E) ratio**, making it one of the cheapest major markets globally, with ample room for a valuation re-rating. However, **regulatory changes** could limit the financial sector's near-term valuation re-rating potential.

— Jason Wong, Senior Equity Analyst

US Q2 earnings season has been excellent, with substantial upgrades to 2026 earnings growth forecasts, partly offset by lower 2027 earnings growth expectations

Consensus earnings growth projections for the S&P500 Index as of 5 August 2026 and 1 July 2026



Source: LSEG I/B/E/S, Standard Chartered

We see the China equity rally extending into H2. The MSCI China Index remains down c.7% YTD, despite its recent rebound, implying room to catch up

MSCI China Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How will the US Treasury borrowing plan and Q3 Quarterly Refunding Announcement affect US government bond yields?

Our view: We expect the yield premium to remain elevated and prefer shorter-tenor bonds, particularly in the 3-5-year segment.

Rationale: The US Treasury's Q3 2026 borrowing estimate of USD 739bn – USD 68bn above the May forecast – reflects **deteriorating net cash flows**. Yet the **yield reaction was mild** after the borrowing announcement, likely explained by the continued heavy reliance on T-bill issuance amid **strong support from money market funds**. T-bills currently represent **c.23.7%** of total outstanding debt, remaining below the peak of over 28% during the Covid-19 period.

While **the front-loading of bill issuance keeps short-end rates anchored**, it only delays, but does not eliminate, the eventual need for longer-dated bond auctions. The pressure on long-end yields is thus just being deferred. According to the US Treasury, **projected issuance will rise to USD 4.9trn by 2028** from USD 4.4trn in 2026. Because longer-dated bonds tie up investors' money for longer, they carry more risk and put more strain on the market than short-term bonds of the same USD amount. Once this is accounted for, the extra borrowing translates into the equivalent of **USD 350bn-520bn** in additional 10-year US government bond supply per year – representing the true weight of new bonds the market will need to absorb annually. The **yield differential between 2- and 10-year US government bonds has steepened materially** in the past month, consistent with the market pricing in a higher terminal rate at the front end while long-end yield premia expand amid supply pressure.

— Ray Heung, Senior Investment Strategist

Q What are the implications of hyperscaler debt issuance for the US corporate bond market?

Our view: Shorter-dated, high-quality bonds in the 1-5-year segment should remain relatively well bid, while medium- to long-dated maturities face broader spread pressure. We see an opportunity to add high-quality bonds in the 3-5-year tenor.

Rationale: The US investment-grade (IG) corporate bond market is experiencing an **unprecedented supply surge** in 2026, driven primarily by major hyperscalers' AI infrastructure spending ambitions. June set a new monthly record for IG issuance at over USD 180bn, with **several brokers raising their IG issuance forecasts for 2026**. This volume has created technical indigestion.

Investors in front-end and medium maturities are **absorbing new supply** by recycling redemption proceeds/coupon income. However, **asset managers/dealers** are approaching risk limits in the belly and the long end of the curve, while **insurers** – historically key buyers of long-dated tech bonds – are at or near their target allocations.

For hold-to-maturity investors, this presents an opportunity to **lock in high-quality income from highly rated bonds**, especially in our recommended 3-5-year tenor.

— Ray Heung, Senior Investment Strategist

Treasury bills (T-bills) as a proportion of total US debt remain below the peak reached during the Covid-19 period

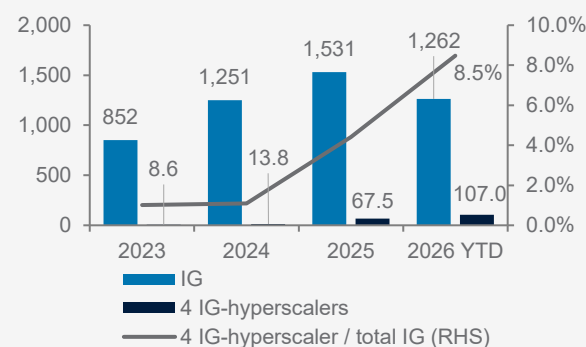
T-bills as a percentage of total US government debt



Source: Bloomberg, Standard Chartered

Fast and furious – hyperscaler debt issuance is rising rapidly, both in absolute volume and as a share of total IG issuance

Total US IG and top four US hyperscaler bond issuance 2023-25 and 2026 YTD (USD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Will the RBA raise rates next week? What might be the implications for the Australian dollar (AUD) and AUD bonds?

Our view: We expect the RBA to keep rates unchanged at 4.35% at its 11 August policy meeting, broadly in line with market expectations. We believe this presents an opportunity to lock in higher yields in AUD corporate bonds. We maintain our modestly bullish view on the AUD.

Rationale: The market is pricing in a **95% chance** that the RBA will hold rates steady next week, but we expect the messaging to retain a **hawkish bias**, with **inflation risks still lingering**. However, a potentially slowing economy later in 2026 could give the RBA more reasons to refrain from further hikes. We believe **the market has already priced in the 'hawkish hold' narrative**. We reiterate our **Opportunistic buy idea** on AUD corporate bonds to capture still-attractive yields.

For the AUD, a rate hold along with hawkish guidance should remain supportive, but expectations of slower economic growth may temper gains. We remain **modestly bullish on the AUD** and forecast AUD/USD at **0.74** over three months and **0.75** over 12 months.

— Ray Heung, Senior Investment Strategist

Q After the RBI's decision to leave its benchmark repo rate unchanged at 5.25%, what is your view on India bond yields?

Our view: The yield downtrend is expected to continue for the next few months, aided by the benefits from the RBI's capital inflow measures. Our investment stance favours carry strategies in short- to medium-duration bonds (up to five years), with only a tactical allocation to longer duration, as the long end is expected to be more volatile.

Rationale: The RBI's August 2026 monetary policy meeting kept the repo rate unchanged, maintaining a **Neutral stance but with a dovish tilt**. India's FY27 **growth estimate has been revised upwards** by 10bps, reflecting robust domestic demand conditions and strong exports. The FY27 **consumer inflation estimate has been revised lower** by 10bps as core inflation remained broadly steady. The RBI is likely to **wait and watch** while assessing the monsoon and crude oil data. The case for tightening would become stronger if second-order effects of inflation become visible.

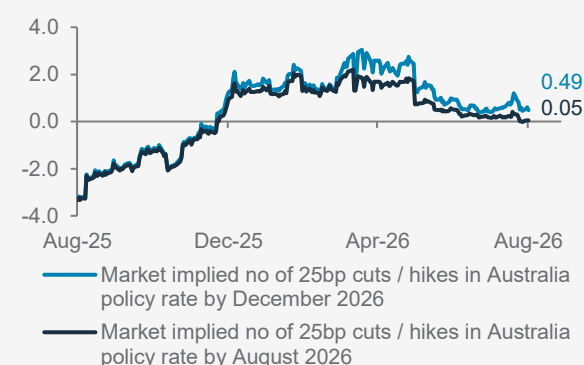
The response to the RBI's recent capital inflow measures has been encouraging, with c.USD 40bn of flows generated via offshore deposit and borrowing schemes and c.USD 8bn of debt foreign portfolio investment (FPI) inflows received over the last two months. Improved liquidity is expected to moderate banks' credit-to-deposit ratios, with **short-end yields drifting lower in the near term**.

Given the steepness of the yield curve, a **tactical allocation towards the long end of the yield curve** is supported by FPI demand, moderating inflation expectations and government borrowing shifting to lower maturities, although **the long end is expected to remain volatile because of oil price volatility**.

— Shaily Gang, Chief Investment Strategist, India

Markets expect the RBA to keep rates unchanged

Market-implied number of 25bps RBA rate cuts/hikes by August and December 2026



Source: Bloomberg, Standard Chartered

Response to the RBI's capital inflow measures

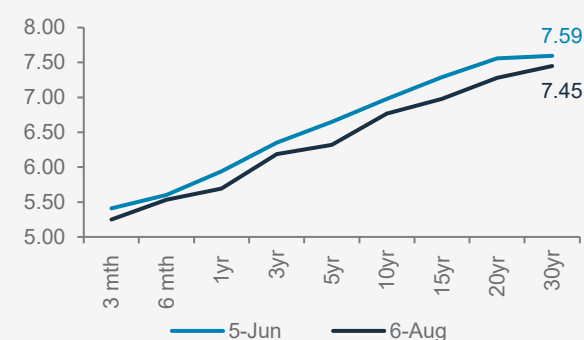
Foreign Currency Non-resident (Bank) (FCNR [B]), Overseas Foreign Currency Borrowing (OFCB) and External Commercial Borrowings (ECB) flows garnered by 31 July 2026

USD bn	31-Jul-26	17-Jul-26
FCNR (B)	36.7	17.4
OFCB	2.6	2.0
ECB	1.5	1.4
Total	40.8	20.8

Source: Press Releases – Reserve Bank of India

Yield curve shifted lower following the RBI's capital inflow measures; further declines expected

Shift in the India government bond yield curve since the RBI's June 2026 policy meeting



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What are the implications of the coordinated US-Japan intervention for USD/JPY, JPY carry trades and Japan equities?

Our view: The coordinated US-Japan FX intervention has strengthened the credibility of official action and should limit sharp speculative rises in USD/JPY. Japan's authorities appear focused on curbing disorderly moves rather than reversing the underlying trend.

Rationale: Japan's official FX intervention has changed near-term market dynamics but has not altered our medium-term JPY outlook. **We still expect one more BoJ rate hike this year**, while relatively high US interest rates should continue to support USD/JPY.

JPY-funded carry trades remain fundamentally attractive, given the still-wide US-Japan interest rate differential, although higher intervention risk may encourage **lower leverage** and **tighter risk management**. Policymakers appear focused on limiting disorderly moves rather than defending a specific exchange-rate level. **Resistance** is expected at 159.00 and 160.00, while **support** lies at 156.30 and 155.23.

We maintain a **Core holding stance** on Japan equities. Consensus 2026E earnings-per-share growth has been revised materially higher amid a **reflating economy** and ongoing **Corporate Governance Code reforms**. JPY volatility introduces a headwind, as c.56% of revenues for MSCI Japan are derived from overseas.

— **Ray Heung**, Senior Investment Strategist
— **Jason Wong**, Senior Equity Analyst

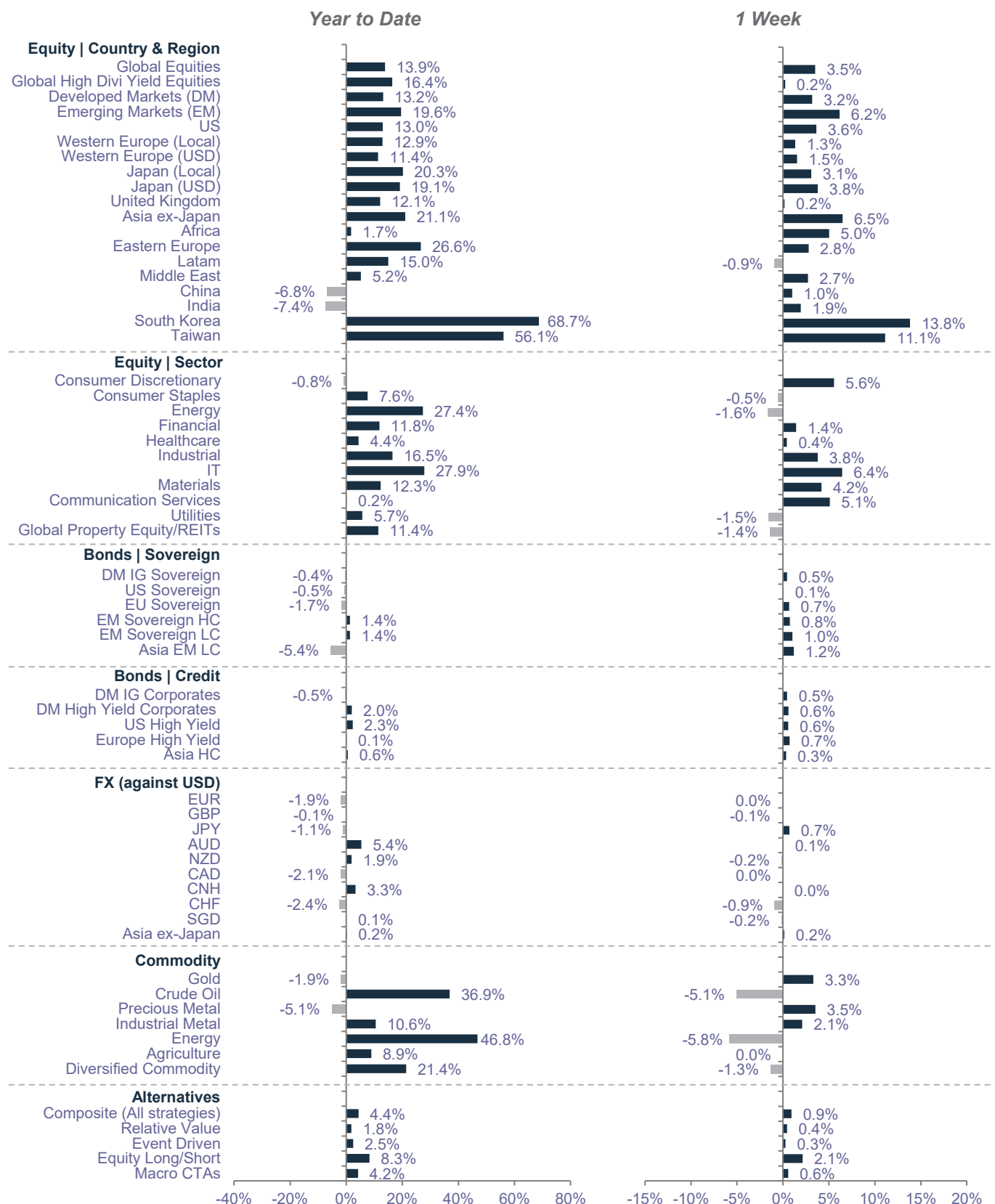
USD/JPY: Market testing higher levels amid intervention concerns

USD/JPY spot exchange rate with key technical support and resistance levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 6 August 2026; 1-week period: 30 July 2026 to 6 August 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ◆	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,898

Technical indicators for key markets as of 6 Aug close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,710	7,418	7,898	20.0	1.1
STOXX 50	6,503	6,280	6,627	15.5	3.1
FTSE 100	10,868	10,514	11,106	13.0	3.7
TOPIX	4,056	3,897	4,176	16.5	2.3
Shanghai Comp	3,900	3,736	4,070	12.9	3.2
Hang Seng	25,530	23,890	26,679	10.7	3.4
Nifty 50	24,636	23,903	25,071	18.6	1.8
MSCI Asia ex-Japan	1,094	1,022	1,152	10.4	2.3
MSCI EM	1,659	1,555	1,741	10.1	2.7
Crude oil (WTI)	77.3	66.1	91.0	na	na
Gold	4,239	4,031	4,376	na	na
UST 10Y Yield	4.68	4.52	4.79	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Aug	–	-3.1
	AUD	RBA Cash Rate Target	11-Aug	4.4%	4.4%
TUE	USD	NFIB Small Business Optimism	Jul	–	97.4
	USD	CPI y/y	Jul	3.5%	3.5%
WED	USD	Core CPI y/y	Jul	2.5%	2.6%
	GBP	GDP y/y	2Q P	–	0.9%
THU	USD	Initial Jobless Claims	8-Aug	–	–
	USD	Continuing Claims	1-Aug	–	–
	USD	PPI Final Demand y/y	Jul	–	5.5%
	USD	PPI Ex Food and Energy y/y	Jul	–	4.7%
FRI/SAT	USD	Retail Sales Control Group	Jul	0.3%	0.5%
	USD	U. of Mich. Sentiment	Aug P	54	55.2

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 6 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.22
Global Equities	●	↑	1.59
Gold	○	→	1.49
Equity			
MSCI US	●	↑	1.51
MSCI Europe	○	→	1.49
MSCI AC AXJ	●	↑	1.78
Fixed Income			
DM Corp Bond	●	↑	2.56
DM High Yield	●	↑	1.60
EM USD	●	↑	2.39
EM Local	●	↑	2.06
Asia USD	●	↑	2.05
Currencies			
EUR/USD	○	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ○ Low to mid | ○ Critically low

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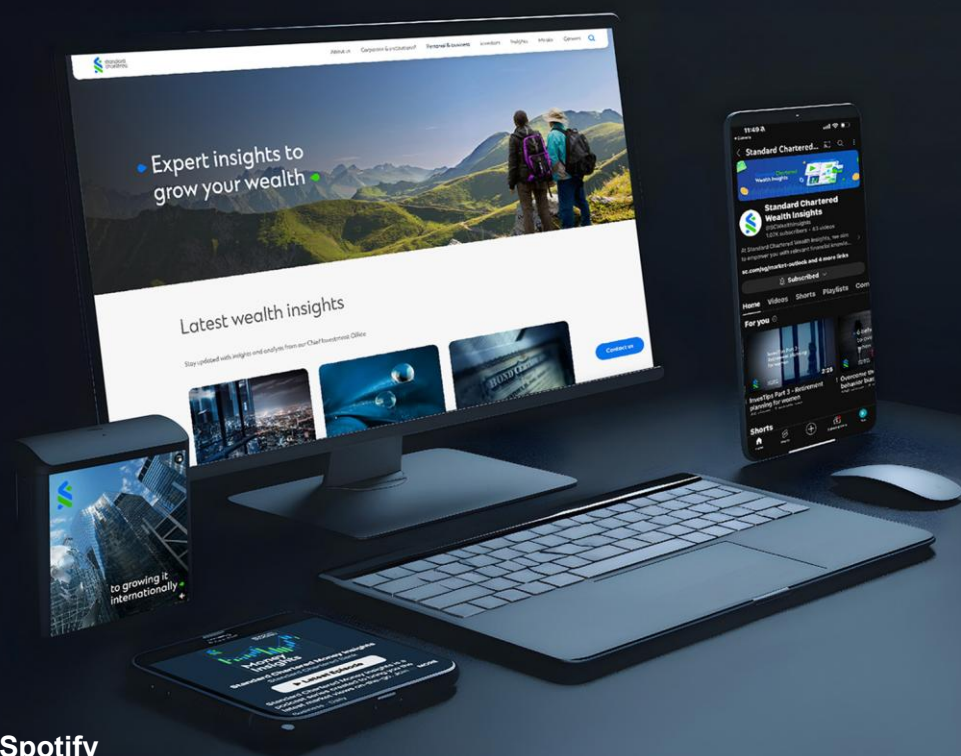
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